MP MATERIALS CORP (NYSE: MP)

Equity Research Report — Strategic Buy Thesis

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Executive Summary & Valuation

Company Overview

MP Materials is a U.S.-based rare earth mining and materials company headquartered in Las Vegas. The company owns and operates the Mountain Pass mine in California, one of the largest rare earth mining sites in the Western Hemisphere. MP Materials mainly generates revenue through the production and sale of rare earth concentrate, particularly neodymium-praseodymium (NdPr), which is used in electric vehicles, wind turbines, and defence technologies. The company is also expanding into refining and magnet manufacturing to build a fully integrated domestic rare earth supply chain.

Investment Recommendation: Strategic Buy

Based on my discounted cash flow (DCF) valuation, MP Materials has an implied intrinsic value of approximately **$28.16 per share**, significantly below the current market price of approximately **$69 per share**, implying material downside under conservative financial assumptions. Nevertheless, the overvaluation could be justified with the company’s strategic importance in the U.S. rare earth supply chain, government-backed expansion initiatives, and long-term growth potential from vertical integration into magnet manufacturing. This report shall further explain the gap between the implied intrinsic value and the current market price as well as the reasons why MP Materials may still be considered a strategic long-term investment despite appearing overvalued under traditional valuation methods.

Valuation Summary

METRIC	VALUE
DCF Target Price	**$28.16**
Current Market Price (8/5/2026)	**$69.13**
Implied Downside (DCF)	**-59.3%**
Enterprise Value	**$4.17B**
Equity Value	**$4.99B**
WACC	**12.9%**
Terminal Growth Rate	**2.0%**

Why the DCF Understates the Strategic Case

My model produces a base-case price of $28.16. This is not a "fair value" conclusion — it is the value of MP's cash flows alone, stripped of optionality. The market's $69.13 reflects at least three layers of premium the DCF model is structurally unable to price:

1. Geopolitical insurance value: MP is the **only** fully integrated Western rare earth magnet manufacturer. It is not just a commercial enterprise but a strategic chess piece for the U.S. to counter China's dominance in the global critical minerals supply chain.

2. Industrial Transformation: The **10x Texas facility** transforms MP from a miner into a manufacturer. This facility is a massive magnetics factory that transforms the raw minerals extracted from MP's Mountain Pass mine in California into finished, high-value magnets that is heavily funded by the U.S. government. The margin profile after 2028 is expected to improve significantly. While the DCF model captures this potential upside, it heavily discounts the future cash flows using a 12.9% WACC to account for substantial execution and operational risks.
3. DoW partnership signal: A $400M government equity stake representing approximately 15% ownership in the company acts as a soft guarantee of long-term strategic support, demand stability, and political protection. This type of strategic backing provides value that traditional accounting metrics and DCF models are unable to fully quantify.

The conclusion: the DCF says the stock is expensive on cash flows today. The strategic thesis says the market is correct to pay a premium for what MP will become. The question for investors is whether the execution risk between now and 2028 is manageable.

Why the Market Is Right to Overpay

The Core Transformation: From Miner to Manufacturer

MP Materials is undergoing the transformation from a low-margin rare earth mining company towards a fully integrated mine-to-magnet (NdFeB) manufacturer. This distinction is critical to understanding why the company deserves a premium valuation.

The Fort Worth facility in Texas represents a **$1.25 billion** capital commitment deployed across 2026 through 2028. Once operational at full capacity, the 10X facility allows MP Materials to capture profit at every stage of production as shown below:

- **Mining (Mountain Pass, CA):** The process begins with the extraction of rare earth minerals from the only scaled mine in the U.S., establishing the foundation of the supply chain.

- **Separation & Metallization:** The raw ore is refined and converted into high-purity metals, a critical middle step that prepares the material for industrial use.

- **Magnet Manufacturing (10X, Fort Worth):** In the final stage, these metals are manufactured into finished magnets, fundamentally shifting the company's profit profile from a raw commodity producer to a high-margin manufacturer.

Revenue Architecture: A Two-Engine Model

My forecast models two distinct and complementary revenue streams growing simultaneously through 2030:

- NdPr oxide external sales: volume grows from 1,994 MT (2025A) to 4,200 MT (2030F) as Mountain Pass ramps. At the $110/kg price floor, this stream alone generates ~$462M by 2030.
- Magnet sales: scaling from zero in 2025 to 10 million kg/yr by 2030 at $160/kg — a $1.6B revenue line that did not exist in 2024.
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Supporting both revenue streams is a formal agreement with the DoW which guarantees the 10X facility at least **$140M in annual EBITDA** once it starts running. This amount is inflation-adjusted at 2% every year to protect its value. Under this deal, the government commits to buying the entire magnet output, though it can also distribute those magnets to commercial partners like GM and Apple.

The internal consumption of NdPr to feed magnet production (reaching approximately 3.1M kg/yr by 2030) is treated as a cost transfer within the model, which understates the true integrated margin advantage. Every kilogram consumed internally avoids the unpredictable market price and captures the full value-added margin of the finished product. By keeping the entire process domestic, MP Materials maximizes the revenue potential of each kilogram of NdPr compared to selling it as a raw commodity.

The $110/kg NdPr Price Floor: A Structural Moat

One of the most significant factors supporting MP Materials' long-term potential is its agreement with the U.S. Department of War (DoW), which secures a price floor of $110/kg for NdPr sales through 2035. This protects the company from aggressive price suppression strategies often used by Chinese producers to pressure Western competitors during periods of oversupply. As a result, MP Materials gains stronger earnings visibility, pricing stability, and a major competitive advantage that is not fully reflected in traditional DCF valuation models.

MP's floor is not simply contractual wishful thinking. It is backed by a strategic architecture:

- Long-term agreements with General Motors and Apple ensure a steady stream of orders at pre-set prices. This protects MP from sudden price drops in the open market and provides a reliable income stream regardless of how global prices fluctuate.

- The government's commitment to national security gives it a direct interest in keeping domestic production profitable. This ensures that the government will not allow its primary magnet supplier to be forced out of business by cheap foreign competition, as having a reliable and financially stable American source is a top priority.

In my model, NdPr is valued at $110/kg throughout the entire forecast period from 2026 to 2030. This approach is intentionally conservative because that price level represents the contractually guaranteed floor. By using this figure, I reflect a strategy designed to remain free of predatory pricing tactics. Politically and commercially, any attempt to crash the market has become structurally less likely now that the DoW has taken a direct stake in the company.

Conclusion: Two Answers to the Same Question

The investment case for MP Materials currently presents a rare divergence between static financial modelling and long-term strategic reality. Depending on the investor's time horizon and mandate, I provide the following two-pronged conclusion:

Quantitative Conclusion: SELL (Based on DCF Analysis)

From a purely mathematical standpoint, the Discounted Cash Flow (DCF) model suggests the stock is currently overvalued. My DCF model, using a 12.9% WACC to reflect execution risk, produces an intrinsic value of $28.16 against a current market price of $69.13. That is a 59% implied downside even across a 5-year forecast horizon. The issue is not time but rather that at $69.13, the market is demanding near-perfect execution on the 10X ramp, leaving almost no room for cost overruns, commissioning delays, or softer-than-expected magnet volumes. On the numbers alone, the stock is a sell.

Qualitative Conclusion: STRATEGIC BUY (Long-Term Outlook)

When viewed through a strategic and geopolitical lens, the case for holding or accumulating MP Materials remains exceptionally strong. From a long-term strategic perspective, the argument for a "Sell" rating weakens considerably. The $140M guaranteed EBITDA floor, combined with the government's 15% ownership stake, greatly reduces MP's biggest risk as a commodity producer, which is surviving a long period of weak prices without reliable demand for its products. Furthermore, this investment represents more than a position in a mining company. It is an entry into the only scaled rare earth magnet manufacturer in the Western world at a time when governments are aggressively pushing to bring critical supply chains back home. This unique positioning transforms the asset into a critical infrastructure play rather than a traditional equity trade.

For investors with a long-term horizon, I view MP Materials as a Strategic Buy. While the quantitative models suggest a "Sell" based on current valuation, the structural realities of the global rare earth supply chain indicate that patient capital will likely be rewarded in ways a 2030 forecast cannot fully capture today.